

ActuaryGPT — Vehicle Claim Auditing Report

Confidential claim fraud analysis & risk recommendation report.

1. Policyholder & Claim Profile

Age / Months as Cust	48 yrs / 328 mos	Policy State / CSL	OH / 250/500
Incident Type	Single Vehicle Collision	Incident Severity	Major Damage
Collision Type	Side Collision	Incident Date / Hour	N/A / 5:00
Total Claim Amount	\$9,500.00	Vehicle Claim	\$52,080.00
Auto Make & Model	Saab 92x (2004)	Witnesses / Police Report	2 / YES

2. Claim Fraud Assessment

AI Fraud Classification	High Risk - Potential Fraud Flag
Prediction Confidence	97.4%
Underwriting Recommendation	Refer for Manual Audit Investigation

3. AI Claim Analysis & Detail Explanation

Claim Auditing Report: VEH-7821

Claim ID: VEH-7821

Client: customer1

Date: 2026-06-19

ML Fraud Prediction: Y (97.4% Confidence)

Current Status: Pending

1. Incident Risk Assessment

The incident details present several points for consideration:

* **Incident Type & Severity:** A 'Single Vehicle Collision' resulting in 'Major Damage' is plausible. The presence of 1 bodily injury and property damage aligns with this severity.

* **Authorities Contacted:** Police were contacted, and a police report is available, which is a positive indicator for documentation and verification.

* **Incident Hour:** The incident occurred at 5 AM. While legitimate accidents happen at this hour, it is a time with potentially fewer independent witnesses, which can be a minor flag for single-vehicle incidents.

* **Witnesses:** The presence of 2 witnesses is noted. Their independence and statements should be verified during further investigation.

* **Geographic Discrepancy:** The policy is based in Ohio (OH), but the incident occurred in South Carolina (SC). While customers travel, this is a minor flag that warrants verification of the vehicle's typical garaging location and purpose of travel if other red flags are present.

2. Comparative Analysis

This claim (VEH-7821) exhibits significant alignment with a past claim associated with `customer1`:

* **Similar Case:** Claim VEH-894F7F, also linked to `customer1`, shows a 95.0% similarity to the current claim. Crucially, VEH-894F7F was flagged for potential fraud (`Fraud Flag: Y`) but was ultimately approved.

* **Implication:** The high similarity, coupled with a previous fraud flag for the same client that resulted in approval, suggests a concerning pattern. It indicates a potential history of the client being involved in claims with suspicious characteristics that may have previously gone undetected or unproven. The ML model's high confidence in fraud for the current claim further strengthens this concern, indicating the model has identified similar patterns to the previously flagged claim.

3. Anomaly & Fraud Detection

Several significant anomalies and potential fraud indicators are present:

* **High Claim Amount vs. Vehicle Value:** The most striking anomaly is the 'total_claim_amount' of \$71,610.0 for a 2004 Saab 92x. The actual cash value (ACV) of a 2004 Saab 92x (a rebadged Subaru Impreza) in 2026 would realistically be a small fraction of this claimed amount, likely in the range of \$5,000-\$10,000 at best. This massive discrepancy strongly suggests either:

* Gross overvaluation of damages.

- * A total loss claim where the claimed payout significantly exceeds the vehicle's ACV.
- * Potential for staged damages or claim inflation.
- * **Machine Learning Classifier Output:** The ML model predicts 'Potential Fraud' with a high confidence level of 97.4%. This strong statistical indicator cannot be overlooked.
- * **Client Claims History:** As highlighted in the comparative analysis, the client (`customer1`) has a prior claim (`VEH-894F7F`) with high similarity that was flagged for fraud but approved. This history warrants heightened scrutiny.
- * **Incident Hour & Single Vehicle:** The combination of an early morning incident (5 AM) and a single-vehicle collision can sometimes be associated with increased fraud risk due to fewer potential independent witnesses.

4. Auditing Recommendation

Given the cumulative evidence, particularly the extreme discrepancy between the claimed amount and the vehicle's likely market value, the high ML fraud prediction, and the client's history of a similarly flagged claim, a payout approval is not recommended at this stage.

Recommendation: Flag for immediate manual claims investigation.

Key areas for investigation should include:

1. **Vehicle Valuation:** Obtain an independent and thorough appraisal of the 2004 Saab 92x's actual cash value (ACV) immediately prior to the incident.
2. **Damage Assessment:** Conduct a detailed review of the vehicle damage estimate and repair costs, ensuring they are legitimate, necessary, and commensurate with the ACV, or if a total loss, that the proposed settlement aligns with fair market value.
3. **Police Report & Witnesses:** Verify the authenticity of the police report and independently interview the reported witnesses to confirm their statements and relationship to the claimant.
4. **Client Claims History:** Review the details of previous claim VEH-894F7F for patterns in incident type, damage claims, and resolution outcomes.
5. **Geographic Review:** Investigate the circumstances of the incident occurring in SC while the policy is in OH to ensure consistency with the insured's normal use of the vehicle.